



The Souled Store Pvt.Ltd

224, Tantia Jogani Industrial Premises,
J. R. Boricha Marg, Lower Parel (East)
Mumbai - 400011

Corporate Social Responsibility Policy (“CSR Policy”)



The Souled Store Pvt.Ltd

224, Tantia Jogani Industrial Premises,
J. R. Boricha Marg, Lower Parel (East)
Mumbai - 400011

THE SOULED STORE PRIVATE LIMITED

CIN: U52100MH2014PTC253583

**Unit No 224, Tantia Jogani Industrial Premises, Opp Lodha Excelus, Lower Parel, Mumbai
City, Mumbai, Maharashtra, India, 400011**

Email: accounts@thesouledstore.com Website: www.thesouledstore.com

CORPORATE SOCIAL RESPONSIBILITY POLICY

1. INTRODUCTION

Corporate Social Responsibility (CSR) is a public-spirited cause that has been well introduced by the Companies Act, 2013. The essence of CSR is to integrate economic, environmental and social objectives with the company's operations and growth. CSR is the process by which an organization thinks about and evolves its relationships with society for the common good and demonstrate its commitment by giving back to the society for the resources it used to flourish by adoption of appropriate business processes and strategies.

The Company's CSR Policy has been framed in accordance with the provisions of Section 135 of the Companies Act, 2013 and rules and regulations made thereunder.

2. SCOPE

This CSR Policy applies to all the CSR initiatives and activities undertaken by the Company in India preferably in the vicinity where the Company carries out its business operations and for the benefits of different segments of the society.

3. DEFINITIONS

- (a) "Act" means Companies Act, 2013 including any Statutory modification or re- enactment thereof.
- (b) "Administrative Overheads" means the expenses incurred by the company for general management and administration of Corporate Social Responsibility functions in the company but shall not include the expenses directly incurred for the designing, implementation, monitoring, and evaluation of a particular Corporate Social Responsibility project or programme.
- (c) "Board" means Board of Directors of the Company.



The Souled Store Pvt.Ltd

224, Tantia Jogani Industrial Premises,
J. R. Boricha Marg, Lower Parel (East)
Mumbai - 400011

- (d) “Corporate Social Responsibility” (CSR) means the activities undertaken by the Company in pursuance of its statutory obligation laid down in section 135 of the Act in accordance with the provisions contained in the CSR Rules, but shall not include the following, namely:
- (i) activities undertaken in pursuance of normal course of business of the Company.
 - (ii) any activity undertaken by the Company outside India except for training of Indian sports personnel representing any State or Union territory at national level or India at international level.
 - (iii) contribution of any amount directly or indirectly to any political party under section 182 of the Act.
 - (iv) activities benefitting employees of the Company as defined in clause (k) of Section 2 of the Code on Wages, 2019 (29 of 2019).
 - (v) activities supported by the Company on sponsorship basis for deriving marketing benefits for its products or services.
 - (vi) activities carried out for fulfilment of any other statutory obligations under any law in force in India.
- (e) “CSR Rules” means the Companies (Corporate Social Responsibility Policy) Rules, 2014.
- (f) “CSR Committee” means Corporate Social Responsibility Committee of the Board, if any.
- (g) “CSR Activities” means the activities to be undertaken by Company in areas or subject specified in Schedule VII to the Act.
- (h) “CSR Policy” means a statement containing the approach and direction given by the board of a company, taking into account the recommendations of its CSR Committee, if any, and includes guiding principles for selection, implementation and monitoring of activities as well as formulation of the annual action plan;
- (i) “Net profit” means the net profit of a company as per its financial statement prepared in accordance with the applicable provisions of the Act, but shall not include the following, namely: -
- (i) any profit arising from any overseas branch or branches of the company, whether operated as a separate company or otherwise; and
 - (ii) any dividend received from other companies in India, which are covered under and complying with the provisions of section 135 of the Act: Provided that in case of a foreign company covered under these rules, net profit means the net profit of such company as per profit and loss account prepared in terms of clause (a) of sub-section (1) of section 381, read with section 198 of the Act;
- (j) “Ongoing Project” means a multi-year project undertaken by a Company in fulfilment of its CSR obligation having timelines not exceeding three years excluding the financial year in which it was



The Souled Store Pvt.Ltd

224, Tantia Jogani Industrial Premises,
J. R. Boricha Marg, Lower Parel (East)
Mumbai - 400011

commenced and shall include such project that was initially not approved as a multi-year project but whose duration has been extended beyond one year by the board based on reasonable justification.

Words and expressions used and not defined in this Policy but defined in the Act and CSR Rules shall have the same meanings respectively assigned to them in the Act and the CSR Rules.

4. OBJECTIVE OF THE CSR POLICY

- To ensure that the Company is committed to operate its business in an economically, socially and environmentally sustainable manner, while recognizing the interests of all its stakeholders.
- To take up programmes that benefit the communities in and around its work centres and over a period of time, results in enhancing the quality of life of the people in the area of its business operations.
- To generate a community goodwill for the Company and help reinforce a positive and socially responsible image of Company as a good corporate citizen of the Country.

5. RESPONSIBILITIES OF THE BOARD

The Board shall:

- Form a CSR Committee, if applicable and disclose the composition of the CSR Committee.
- Approve the CSR Policy after taking into account the recommendations made by the CSR Committee.
- Place the CSR Policy on the Company's website.
- Approve the Annual Action Plan, as recommended by the CSR Committee, if any.
- Alter the Annual Action Plan at any time during the financial year, as per the recommendation of its CSR Committee, if any, based on the reasonable justification to that effect.
- Ensure implementation of the activities under CSR.
- Ensure expenditure of requisite amount on CSR every year as per law.
- Make disclosures in the Board's Report as required under Rule 8 of the CSR Rules.
- Undertake impact assessment as required under Rule 8 of the CSR Rules and take note of the impact assessment reports which are mandatorily required to be placed before it.
- Mandatorily disclose the composition of the CSR Committee, if any, and CSR Policy and Projects approved by the Board on website of the Company for public access.
- Disclose reasons for not spending the amount (if applicable) in the Annual Report to the Shareholders of the Company.
- Ensure that the administrative overheads are not more than 5% of the total CSR Expenditure.
- Ensure that the funds so disbursed have been utilized for the purposes and in the manner as approved by Board / CSR Committee and the Chief Financial Officer shall certify to the effect.
- Approve transfer of unspent CSR Amount in accordance with the law. The Accounts and Finance Team of the Company shall prepare the statement of spent and unspent CSR amounts and shall assist and facilitate for transfer of the same.



The Souled Store Pvt.Ltd

224, Tantia Jogani Industrial Premises,
J. R. Boricha Marg, Lower Parel (East)
Mumbai - 400011

- Discharge the functions of the CSR Committee in case it is not required to be constituted or dissolved owing to the amount to be spent by the Company under sub-section (5) of section 135 not exceeding fifty lakh rupees.

6. ROLE OF CSR COMMITTEE WITH RESPECT TO UNDERTAKING THE CSR ACTIVITY:

1. To formulate and recommend to the Board, a Corporate Social Responsibility Policy which shall indicate the activities to be undertaken by the Company as specified in Schedule VII of the Companies Act, 2013 (as amended from time to time).
2. To recommend the amount of expenditure to be incurred on the activities in a financial year.
3. To monitor the Corporate Social Responsibility Policy of the company from time to time.
4. To formulate and recommend to the Board for its approval, an Annual Action Plan in pursuance of this CSR policy.
5. To make recommendation to the Board for alteration of Annual Action Plan if required at any time during the financial year based on reasonable justification.
6. Any other matter/thing as may be considered expedient by the Members of the Committee in furtherance of and to comply with the CSR Policy of the Company.

Where the amount to be spent by the Company under sub-section (5) of section 135 does not exceed fifty lakh rupees, the Board is not required to constitute the CSR Committee of the Company and in such situation, the functions of such Committee, as required under that section read with the CSR Rules, will be discharged by the Board.

7. CSR PROGRAMMES/PROJECTS

In line with Schedule VII of the Act and the CSR Rules, the Company would focus the CSR activities around following thrust areas:

- A. Eradicating hunger, poverty and malnutrition, promoting preventive health care and sanitation including contribution to the Swach Bharat Kosh set-up by the Central Government for the promotion of sanitation and making available safe drinking water.
- B. Vocational Training programmes to enhance the employability skills of the beneficiaries.
- C. Promoting education, including special education and employment, especially among children, women, elderly and the differently-abled and livelihood enhancement projects.
- D. Promoting gender equality, empowering women, setting up old age homes, day care centres and such other facilities for senior citizens and measures for reducing inequalities faced by socially and economically backward groups.
- E. Ensuring environmental sustainability, ecological balance, protection of flora and fauna, animal welfare, agroforestry, conservation of natural resources and maintaining quality of soil, air and water including contribution to the Clean Ganga Fund set-up by the Central Government for rejuvenation of river Ganga.
- F. Protection of national heritage, art and culture including restoration of buildings and sites of historical importance and works of art; setting up public libraries; promotion and development of traditional arts and handicrafts.
- G. Measures for the benefit of armed forces veterans, war widows and their dependants.



The Souled Store Pvt.Ltd

224, Tantia Jogani Industrial Premises,
J. R. Boricha Marg, Lower Parel (East)
Mumbai - 400011

- H. Training to promote rural sports, nationally recognized sports, Para-Olympic sports and Olympic sports.
- I. Contribution to the Prime Minister's National Relief Fund or Prime Minister's Central Assistance and Relief in Emergency Situations Fund (PM CARES Fund) or any other fund set up by the Central Government for socio-economic development and relief and welfare of the Scheduled Caste, Scheduled Tribes, other backward classes, minorities and women.
- J. Contribution to incubators or research and development projects in the field of science, technology, engineering, and medicine, funded by Central Government or State Government or any agency or Public Sector Undertaking of Central Government or State Government.
- K. Contribution towards Public Funded Universities, Indian Institute of Technology (IITs), National Laboratories and Autonomous Bodies (established under the auspices of Indian Council of Agricultural Research (ICAR), Indian Council of Medical Research (ICMR), Council of Scientific and Industrial Research (CSIR), Department of Atomic Energy (DAE), Defense Research and Development Organization (DRDO), Department of Biotechnology (DBT), Department of Science and Technology (DST), Ministry of Electronics and Information Technology) engaged in conducting research in science, technology, engineering and medicine aimed at promoting Sustainable Development Goals (SDGs).
- L. Rural Development Projects.
- M. Slum area development.
- N. Welfare of Central Armed Police Forces (CAPF) and Central Para Military Forces (CPMF) veterans, and their dependents including widows.
- O. Disaster Relief Extending relief measures during the time of natural disaster, anywhere in the country.
- P. Any other activity as may be specified under the Act or the CSR Rules from time to time.

8. IMPLEMENTATION, IDENTIFICATION AND SELECTION OF PROGRAMMES

8.1 PROJECT SELECTION:

Projects shall be selected on the basis of need identification studies, internal need assessment or receipt of proposals. Projects shall be evaluated against goals and milestones defined for the project together with the implementing agency (if any).

8.2 PROJECT IMPLEMENTATION:

As per the new CSR Amendments Rules released by the Ministry of Corporate Affairs dated 22nd January, 2021:

- The Board shall ensure that the CSR activities are undertaken by the company itself or through –

(a) a company established under section 8 of the Act, or a registered public trust or a registered society, registered under section 12A and 80 G of the Income Tax Act, 1961 (43 of 1961), established by the company, either singly or along with any other company, or



The Souled Store Pvt.Ltd

224, Tantia Jogani Industrial Premises,
J. R. Boricha Marg, Lower Parel (East)
Mumbai - 400011

(b) a company established under section 8 of the Act or a registered trust or a registered society, established by the Central Government or State Government; or

(c) any entity established under an Act of Parliament or a State legislature; or

(d) a company established under section 8 of the Act, or a registered public trust or a registered society, registered under section 12A and 80G of the Income Tax Act, 1961, and having an established track record of at least three years in undertaking similar activities.

- A company may engage international organisations for designing, monitoring and evaluation of the CSR projects or programmes as per its CSR policy as well as for capacity building of their own personnel for CSR.
- A company may also collaborate with other companies for undertaking projects or programmes or CSR activities in such a manner that the CSR committees of respective companies are in a position to report separately on such projects or programmes in accordance with these rules.
- The Board of a company shall satisfy itself that the funds so disbursed have been utilised for the purposes and in the manner as approved by it and the Chief Financial Officer or the person responsible for financial management shall certify to the effect.
- In case of ongoing project, the Board of a Company shall monitor the implementation of the project with reference to the approved timelines and year-wise allocation and shall be competent to make modifications, if any, for smooth implementation of the project within the overall permissible time period.

9. PARTNERSHIPS TO IMPLEMENT THE PROGRAMMES

Collaborative Partnerships may be formed with the Government Agencies, the village Panchayats, NGOs and other like-minded stakeholders. This would help widen the Company's reach and leverage upon the collective expertise, wisdom and experience that these partnerships bring to the table.

10. PARTNER QUALIFICATIONS AND DUE DILIGENCE

If Company enrolling an implementation agency, Company shall undertake measures to ensure that projects are awarded to certified implementation agencies, be its vocational training institutes, registered trusts, societies, or Section 8 Companies operating in India. The Company shall ensure that the implementation agencies have a clearly explained mission/vision and an established track record of three years in undertaking similar projects or programs. They should be able to produce their latest audit, annual reports, and registration forms according to Section 80G/12A. Potential partner NGOs will undergo comprehensive due diligence and will be checked to ensure that they fulfill the criteria listed in Section 135 read with CSR Rules.



The Souled Store Pvt.Ltd

224, Tantia Jogani Industrial Premises,
J. R. Boricha Marg, Lower Parel (East)
Mumbai - 400011

11. REPORTING AND MONITORING

- The Board of the Company or its CSR Committee shall monitor the implementation of the CSR projects as required under the Companies Act 2013 and examine whether the funds provided by the Company are utilized in accordance with the approved plans and report to the Board of Directors or its committee. The management shall provide a detailed report of CSR activities carried out as well as budgets utilized in the prescribed format to the Company's Board or its committee.
- In case of ongoing project, the Board shall monitor the implementation of the project with reference to the approved timelines and year-wise allocation and shall be competent to make modifications, if any, for smooth implementation of the project within the overall permissible period.
- The annual action plan of the Company would include the manner of execution of CSR projects or programmes to be undertaken by the Company, the modalities of utilization of funds and implementation schedules for the projects or programmes, and monitoring and reporting mechanism for the projects or programmes and details of need & impact assessment, if any, for the projects undertaken by the Company.
- If for any reason, the Company is unable to utilize the entire funds provided by the Company, such. unutilized funds shall be treated in accordance with the Companies (Corporate Social Responsibility Policy) Rules, 2014, as may be amended from time to time.

12. ENGAGEMENT OF INTERNATIONAL ORGANISATIONS

The Company may engage international organisation(s) for designing, monitoring and evaluation of the CSR projects or programmes as well as for capacity building of its personnel for CSR.

13. CSR ANNUAL ACTION PLAN (CAAP)

The CSR Committee shall formulate and recommend to the Board of Directors, a CAAP in pursuance of this Policy, which shall include focus areas for the year, the list of projects to be undertaken, manner of execution, fund utilization, monitoring mechanism, etc. The Board of Directors may approve the CAAP with such further conditions as it deems fit and further alter CAAP at any time during the financial year, as per the recommendation of the CSR Committee, based on the reasonable justification to that effect.

14. FINANCE FOR CSR PROJECTS

The Company shall present to its Board or its CSR Committee the Annual Plan of activities along with budgets at beginning of every financial year. Management shall present to the Board the details of the projects & budgets approved.



The Souled Store Pvt.Ltd

224, Tantia Jogani Industrial Premises,
J. R. Boricha Marg, Lower Parel (East)
Mumbai - 400011

15. GENERAL

- Words and expressions used but not defined in this Policy shall have the same meaning assigned to them in the Companies Act, 2013, the CSR Rules made thereunder or in any amendment thereto. This Policy shall also be subject to such clarifications and FAQs as may be issued by MCA from time to time.
- In case of any doubt with regard to any provision of the policy and also in respect of matters not covered herein, a reference should be made to Corporate CSR Department. In all such matters, the interpretation & decision of the CSR Committee shall be final.
- Any or all provisions of the CSR Policy would be subject to revision/amendment in accordance with the guidelines on the subject as may be issued from the Government, from time to time.
- The Company reserves the right to modify, cancel, add, or amend any of these Rules.